

ENGLISH **LIVE**

12

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 12

24th January, 2017

Stonewalling by the RBI

The central bank needs to be more forthcoming on the 'remonetisation' roadmap than it has been so far

It's been 75 days since November 8, yet the Reserve Bank of India has failed to answer crucial questions on how it intends to 'remonetise' the economy. In its recent depositions before the Parliamentary Standing Committee on Finance and the Public Accounts Committee, the RBI merely said that ₹9.2 lakh crore worth of new currency had been injected into the banking system, in place of the ₹15.4 lakh crore of ₹500 and ₹1,000 crore notes that had been withdrawn from circulation. What is, however, not known is whether the new currency notes are meant to fully replace the old, given the push towards cashless transactions. Governor Urjit Patel has refused to tell us the value of the old notes that have returned to the system. The timeline for removal of withdrawal limits, and hence the return to a sort of new normal with cashless transactions playing a bigger role than pre-November 8, has not been indicated. As a result of this opacity, there's still an air of uncertainty, despite the fact that the cash shortage in banks and ATMs has eased. According to reports on the RBI's submission to the Standing Committee, the currency with the public as on January 13, at ₹9.7 lakh crore, is more than the new notes in circulation, an indication that the people are perhaps hoarding cash in the belief that the crunch is here to stay.

This precautionary demand for cash can be seen as an erosion of faith in the RBI as the custodian of financial stability. The RBI must be more transparent about how it will stabilise the situation and achieve the transition to a cashless economy — besides bringing credit growth back on track. It has a key role to play in ensuring that the adverse socio-economic impact of demonetisation is short-lived.

Former governors have pointed to the RBI being exposed to 'reputational risk'. The RBI earned a name for itself by shielding the country from financial turmoil in the wake of the East Asian crisis and the Great Recession; today, it is being held responsible for making a mess out of implementing demonetisation. But in order to act as a bulwark against financial contingencies, it must recover its lost voice, stature and, crucially, its autonomy. While the decision to demonetise was the prerogative of the Government, it is hard to understand why the RBI governor and his team did not place their views in the public domain. Since November 8, the finance ministry has been briefing the media almost on a daily basis on the cash status. As an independent authority, the RBI should not have shied away from explaining issues that fall squarely in its domain. Its recent monthly bulletins have nothing to say on the subject. The governor must reclaim lost ground at the earliest, for the sake of his institution and the financial security of the nation.

BusinessLine
23rd January 2017

←
DISCUSSION ON
24th Jan (today)

→
DISCUSSION ON
25th Jan (tomorrow)

Globalisation's new spokesman

President Xi Jinping's message to the World Economic Forum in Davos was timely and perhaps visionary as well, in this time of extraordinary global uncertainty. It is no surprise if, as in the case of German Chancellor Angela Merkel's potential leadership of the Western alliance, questions have arisen at this juncture about Mr. Xi's willingness to take up cudgels on behalf of broader internationalism and against the rising tide of inward-looking nationalism. His address at the opening plenary before captains of business and industry could not have been a more robust and reassuring defence of the current world economic order, perceived to be at its most fragile in the post-War era with the election of Donald Trump as U.S. President. Foremost is Mr. Xi's caution against attempts to prevent the free flow of goods, services, capital and people as running counter to the historical trend. It is tempting to interpret this remark as a pointed rebuke to growing calls for economic protectionism at a time when a slump in world trade underpins slow economic growth. Not to be missed also is the categorical support he expressed for the swift enforcement of the Paris accord on climate change. Mr. Xi reiterated the call for a reform of global economic governance structures, to reflect the contribution of the emerging and developing countries. His plea for more inclusive representation is in contrast to the unprecedented attacks mounted against post-War institutions in the same countries that crafted their original architecture.

Mr. Xi fundamentally rejected the stance that seeks to lay the blame for the current challenges at the doorstep of globalisation. The tragic effects of mass migration, he said, have their roots in the recent wars and regional conflicts, rather than in economic globalisation. His diagnosis of Europe's challenges on this front could not entirely be faulted, even if it is largely true that the developing countries have reaped most of the benefits of economic mobility, rather than having to deal with the difficulties of immigration. There may be arguments over the modes and methods of managing the political fallout from globalisation. But there is no denying the mounting and demonstrable evidence that the post-Cold War era of open economies has brought unprecedented prosperity and income redistribution around the world. Mr. Xi's case for globalisation is the most forceful such statement by a Chinese leader yet. For long Beijing has been accused of not taking on the burdens of a leadership role commensurate with its economic and strategic power. The changing world order may have left it with no option but to step up to the podium. It also turns the mirror on Beijing, demanding of it a lot more action to back its own words.

THE HINDU
24th January 2017



Stonewalling by the RBI

The central bank needs to be more forthcoming on the 'remonetisation' roadmap than it has been so far

It's been 75 days since November 8, yet the Reserve Bank of India has failed to answer crucial questions on how it intends to 'remonetise' the economy. In its recent depositions before the Parliamentary Standing Committee on Finance and the Public Accounts Committee, the RBI merely said that ₹9.2 lakh crore worth of new currency had been injected into the banking system, in place of the ₹15.4 lakh crore of ₹500 and ₹1,000 crore notes that had been withdrawn from circulation. What is, however, not known is whether the new currency notes are meant to fully replace the old, given the push towards cashless transactions. Governor Urjit Patel has refused to tell us the value of the old notes that have returned to the system. The timeline for removal of withdrawal limits, and hence the return to a sort of new normal with cashless transactions playing a bigger role than pre-November 8, has not been indicated. As a result of this opacity, there's still an air of uncertainty, despite the fact that the cash shortage in banks and ATMs has eased. According to reports on the RBI's submission to the Standing Committee, the currency with the public as on January 13, at ₹9.7 lakh crore, is more than the new notes in circulation, an indication that the people are perhaps hoarding cash in the belief that the crunch is here to stay.

This precautionary demand for cash can be seen as an erosion of faith in the RBI as the custodian of financial stability. The RBI must be more transparent about how it will stabilise the situation and achieve the transition to a cashless economy — besides bringing credit growth back on track. It has a key role to play in ensuring that the adverse socio-economic impact of demonetisation is short-lived.

Former governors have pointed to the RBI being exposed to 'reputational risk'. The RBI earned a name for itself by shielding the country from financial turmoil in the wake of the East Asian crisis and the Great Recession; today, it is being held responsible for making a mess out of implementing demonetisation. But in order to act as a bulwark against financial contingencies, it must recover its lost voice, stature and, crucially, its autonomy. While the decision to demonetise was the prerogative of the Government, it is hard to understand why the RBI governor and his team did not place their views in the public domain. Since November 8, the finance ministry has been briefing the media almost on a daily basis on the cash status. As an independent authority, the RBI should not have shied away from explaining issues that fall squarely in its domain. Its recent monthly bulletins have nothing to say on the subject. The governor must reclaim lost ground at the earliest, for the sake of his institution and the financial security of the nation.

Stonewalling by the RBI

THE HINDU
BusinessLine

23rd January 2017

Stonewalling by the RBI

The central bank needs to be more forthcoming on the 'remonetisation' roadmap than it has been so far

- It's been 75 days since November 8, **yet** the Reserve Bank of India has failed to answer **crucial** questions on how it intends to 'remonetise' the economy. In its recent **depositions** before the Parliamentary Standing Committee on Finance and the Public Accounts Committee, the RBI **merely** said that Rs. 9.2 lakh crore worth of new currency had been injected into the banking system, in place of the Rs. 15.4 lakh crore of Rs. 500 and Rs. 1,000 crore notes that had been withdrawn from circulation.
- What is, **however**, not known is whether the new currency notes are meant to fully replace the old, given the push towards cashless transactions. Governor Urjit Patel has refused to tell us the value of the old notes that have returned to the system. The timeline for removal of withdrawal limits, and hence the return to a sort of **new normal** with cashless transactions playing a bigger role than pre-November 8, has not been indicated.
- As a result of this **opacity**, there's still an air of uncertainty, despite the fact that the cash shortage in banks and ATMs has eased. According to reports on the RBI's submission to the Standing Committee, the currency with the public as on January 13, at Rs. 9.7 lakh crore, is more than the new notes in circulation, an indication that the people are perhaps **hoarding** cash in the belief that the **crunch** is here to stay.
- This **precautionary** demand for cash can be seen as an **erosion** of faith in the RBI as the custodian of financial stability. The RBI must be more **transparent** about how it will stabilise the situation and achieve the transition to a cashless economy — **besides** bringing credit growth back on track. It has a key role to play in ensuring that the **adverse** socio-economic impact of demonetisation is **short-lived**.
- Former governors have pointed to the RBI being exposed to 'reputational risk'. The RBI earned a name for itself by **shielding** the country from financial **turmoil in the wake of** the East Asian crisis and the Great Recession; today, it is being held responsible for making a **mess** out of implementing demonetisation.
- But in order to act as a **bulwark** against financial **contingencies**, it must recover its lost voice, stature and, crucially, its **autonomy**. While the decision to demonetise was the prerogative of the Government, it is hard to understand why the RBI governor and his team did not place their views in the public domain. Since November 8, the finance ministry has been briefing the media almost on a daily basis on the cash status. As an independent authority, the RBI should not have shied away from explaining issues that fall squarely in its domain. Its recent monthly bulletins have nothing to say on the subject. The governor must reclaim lost ground at the earliest, for the sake of his institution and the financial security of the nation.



Stonewalling by the RBI



Stonewall

RBI is
stonewalling
“on the issue of
remonetization”



Government
stonewalled the
proposal given by
the Opposition
on social security



Stonewall

Delaying tactics

Stonewall

Refuse to
cooperate/answer/stop
discussion



The central bank needs to be more
forthcoming on the 'remonetisation'
roadmap than it has been so far



Forthcoming



There is a tie up between SP
and INC in the **forthcoming** U.P.
Assembly elections



In the entire issue of
demonetization, RBI is
not **forthcoming**

Forthcoming

Happening soon

Forthcoming

Helpful, friendly and willing
to give information



Stonewalling by the RBI

It's been 75 days since November 8, **yet** the Reserve Bank of India has failed to answer **crucial** questions on how it intends to 'remonetise' the economy. In its recent **depositions** before the Parliamentary Standing Committee on Finance and the Public Accounts Committee, the RBI **merely** said that Rs. 9.2 lakh crore worth of new currency had been injected into the banking system, in place of the Rs. 15.4 lakh crore of Rs. 500 and Rs. 1,000 crore notes that had been withdrawn from circulation.



Yet



He has not
come, **yet**

Yet

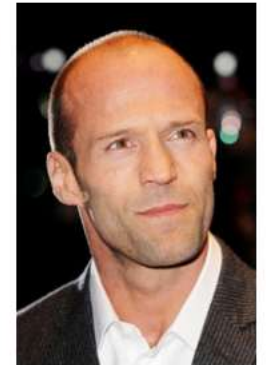
Until now

He studied up
to graduation
in a rural
area, **yet** he
has ability to
become IAS
officer

**Yet**

Even at this stage

He is bald and
overweight,
yet he looks
handsome.

**Yet**

To add something
with a surprise



Crucial

Land acquisition is the
crucial factor in the
success of bullet train
project



Crucial

Extremely important or necessary

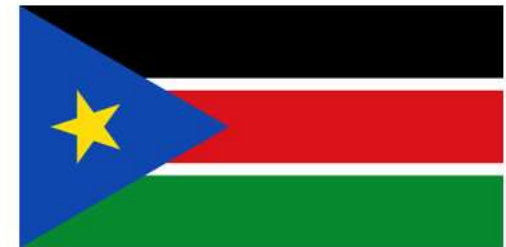


Deposition

Deposition
before the
elected
members in a
parliamentary
democracy is
quite common



The Vice
President was
deposed in South
Sudan



South Sudan

Deposition

Statement in a court of
law/in front of authority

Deposition

Removing someone from a
powerful position



Merely

He had not
spoken to
me, **merely**
smiled



Merely

Used to emphasize/ exact
sense/ nothing more



She is suffering from cancer. These
medicines won't cure her, can
merely reduce the pain

Merely

Used to emphasize that
something is only partly
effective



Stonewalling by the RBI

What is, *however*, not known is whether the new currency notes are meant to fully replace the old, given the push towards cashless transactions. Governor Urjit Patel has refused to tell us the value of the old notes that have returned to the system. The timeline for removal of withdrawal limits, and hence the return to a sort of *new normal* with cashless transactions playing a bigger role than pre-November 8, has not been indicated.



However

*The bill is unlikely
to be passed,
however worthy it is*



However

Despite what ever amount or degree



New Normal

Protectionist tendencies in advanced economies became the **new normal**



After demonetization, digital transactions even in rural areas is **new normal**

New Normal

The current state after some dramatic change



Stonewalling by the RBI

As a result of this **opacity**, there's still an air of uncertainty, despite the fact that the cash shortage in banks and ATMs has eased. According to reports on the RBI's submission to the Standing Committee, the currency with the public as on January 13, at Rs. 9.7 lakh crore, is more than the new notes in circulation, an indication that the people are perhaps **hoarding** cash in the belief that the **crunch** is here to stay.



Opaque



Opaque

Prevent light from travelling through

Transparent



Transparent

Can see through it very clearly



Hoarding



Hoarding

Large Advt. Board



Hoarding

Storing huge quantities,
sometimes secretly



Crunch

Cash **crunch** is
hitting MSMEs
badly



सत्यमेव जयते

MSME

MICRO, SMALL & MEDIUM ENTERPRISES

सूक्ष्म, लघु एवं मध्यम उद्यम

OUR STRENGTH • हमारी शक्ति

Ministry of MSME, Govt. of India



Crunch

Situation not enough of something



Stonewalling by the RBI

This precautionary demand for cash can be seen as an **erosion** of faith in the RBI as the custodian of financial stability. The RBI must be more transparent about how it will stabilise the situation and achieve the transition to a cashless economy — **besides** bringing credit growth back on track. It has a key role to play in ensuring that the **adverse** socio-economic impact of demonetisation is **short-lived**.



Erosion



Erosion

*High NPAs may **erode**
the capital base of the
public sector banks*



Erosion

Gradual reduction of
something



Besides vs Beside

He plays cricket,
besides Hockey.

Aravind house is *beside*
Kennedy School.



Besides

In addition to

Beside

At the side of, Next to



Adverse

*Cricket match was
cancelled because of
adverse weather
conditions*



Adverse

Negative / harmful effect on something



Short-lived

*Their marital relationship became **short-lived**, because of persistent differences.*



Short-lived

Lasts only for a short time



Stonewalling by the RBI

Former governors have pointed to the RBI being exposed to 'reputational risk'. The RBI earned a name for itself by **shielding** the country from financial **turmoil in the wake of** the East Asian crisis and the Great Recession; today, it is being held responsible for making a **mess** out of implementing demonetisation.



Shield



Shield

Large, flat object



*Our forefathers made Election Commission, Finance Commission as Constitutional bodies, so as to **shield** them from undue executive interference*

Shield



In the wake of

An enquiry committee was constituted **in the wake of** boat tragedy in Bihar



In the wake of

Following something as a consequence



Messy



There are several
messy court cases in
our country

Messy

Dirty / untidy / disorderly



Stonewalling by the RBI

But in order to act as a **bulwark** against financial **contingencies**, it must recover its lost voice, stature and, crucially, its **autonomy**. While the decision to demonetise was the prerogative of the Government, it is hard to understand why the RBI governor and his team did not place their views in the public domain. Since November 8, the finance ministry has been briefing the media almost on a daily basis on the cash status. As an independent authority, the RBI should not have shied away from explaining issues that fall squarely in its domain. Its recent monthly bulletins have nothing to say on the subject. The governor must reclaim lost ground at the earliest, for the sake of his institution and the financial security of the nation.



Bulwark

*My savings will act as a
bulwark against
unemployment*



Bulwark

Something that protects from dangerous or unpleasant situations



Contingencies

*Everyone of us should take
action to face **contingencies** in
future*



Contingencies

Something that might happen in future usually causing problems or further arrangements necessary



Autonomy



भारत निर्वाचन आयोग
Election Commission of India



सत्यमेव जयते
Government of India

Union Public Service
Commission

Right of an organisation to be
independent and govern itself

Autonomy



Globalisation's new spokesman

President Xi Jinping's message to the World Economic Forum in Davos was timely and perhaps visionary as well, in this time of extraordinary global uncertainty. It is no surprise if, as in the case of German Chancellor Angela Merkel's potential leadership of the Western alliance, questions have arisen at this juncture about Mr. Xi's willingness to take up cudgels on behalf of broader internationalism and against the rising tide of inward-looking nationalism. His address at the opening plenary before captains of business and industry could not have been a more robust and reassuring defence of the current world economic order, perceived to be at its most fragile in the post-War era with the election of Donald Trump as U.S. President. Foremost is Mr. Xi's caution against attempts to prevent the free flow of goods, services, capital and people as running counter to the historical trend. It is tempting to interpret this remark as a pointed rebuke to growing calls for economic protectionism at a time when a slump in world trade underpins slow economic growth. Not to be missed also is the categorical support he expressed for the swift enforcement of the Paris accord on climate change. Mr. Xi reiterated the call for a reform of global economic governance structures, to reflect the contribution of the emerging and developing countries. His plea for more inclusive representation is in contrast to the unprecedented attacks mounted against post-War institutions in the same countries that crafted their original architecture.

Mr. Xi fundamentally rejected the stance that seeks to lay the blame for the current challenges at the doorstep of globalisation. The tragic effects of mass migration, he said, have their roots in the recent wars and regional conflicts, rather than in economic globalisation. His diagnosis of Europe's challenges on this front could not entirely be faulted, even if it is largely true that the developing countries have reaped most of the benefits of economic mobility, rather than having to deal with the difficulties of immigration. There may be arguments over the modes and methods of managing the political fallout from globalisation. But there is no denying the mounting and demonstrable evidence that the post-Cold War era of open economies has brought unprecedented prosperity and income redistribution around the world. Mr. Xi's case for globalisation is the most forceful such statement by a Chinese leader yet. For long Beijing has been accused of not taking on the burdens of a leadership role commensurate with its economic and strategic power. The changing world order may have left it with no option but to step up to the podium. It also turns the mirror on Beijing, demanding of it a lot more action to back its own words.

DISCUSSION ON

25th Jan (tomorrow)

THE HINDU

24th January 2017